PIA3123 Theories of Development — Week 3: Neoliberalism and Developmental States

1. Course Framing: Three Guiding Questions

Keywords: state vs market, market preconditions, growth vs human rights, normative stakes

- When the economy fails, should governments step in or step back? (slides 3, 29)
- What makes markets function effectively?
- Can economic growth ever justify the suppression of human rights and freedoms?
- The three questions are the spine of the week: Neoliberalism answers "step back"; Developmental State theory answers "step in, but strategically"; the third forces the ethical cost of the East Asian 'miracle' into the open.
- Lecture roadmap (slide 2): (1) neoliberalism — history, Washington Consensus, structural adjustment; (2) developmental states — history, East Asia, implications; (3) break; (4) group presentation and essay topic selection; (5) discussion; (6) conclusion. Lecturer: Francesca Chiu (slide 1).

→ The real question is not whether the state should be involved, but **how** — the nature of involvement, not its extent (slide 22).

2. Defining Neoliberalism

Keywords: competition, market allocation, low taxes, deregulation, consumer-citizen, merit, Harvey

- Neoliberalism is a theory of political economic practices proposing that human well-being can best be advanced by the maximization of entrepreneurial freedoms within an institutional framework characterised by private property rights, individual liberty, unencumbered markets, and free trade (David Harvey 2007, 22) (slide 4).
- Six core commitments (slide 4):
    - Focus on **competition** — the market is the most effective means of allocating resources, within limited regulated competition.
    - Advocates **low taxes and little regulation**.
    - Sees citizens **not as citizens but as consumers** — political identity is replaced by market identity.
    - **Wealth is a reward for merit**: "you are rich because you deserve to be rich because you work hard" — poverty is reframed as personal failure, not structural outcome.
    - The **market is the most important thing in a society**.

- *Example:* privatisation, trade deregulation and financial liberalisation written into loan eligibility (slide 5) — the operational face of these commitments.

→ One-liner: neoliberalism is not "no rules" — it is a very specific set of rules favouring private property, individual liberty, unencumbered markets and free trade.

3. Neoliberalism in Practice: The 1970s–80s Turn

Keywords: Reagan, Thatcher, IFIs, conditionality, privatisation, deregulation, financial liberalisation

- Political alignment: neoliberals were closely aligned with conservative governments that came to power in the 1970s–1980s — Ronald Reagan in the US and Margaret Thatcher in the UK (slide 5).
- Institutional channel: financial and technical support for development administered through the World Bank, regional development banks, and the IMF (slide 5).
- **The decisive move:** eligibility criteria for obtaining loans were "swiftly adjusted" to align with neoliberal policy preferences — privatization, economic and trade deregulation, as well as financial liberalisation (slide 5).
- Later intellectual sources named on slide 16: Friedman and Hayek had already argued for "less state, more market" — the debt crisis gave their ideas political force.

→ Neoliberalism was not only a theory of how economies should run; it became the **condition for access to credit**, which is the mechanism that made it global.

4. From Oil Shock to Debt Trap: The Road to Structural Adjustment

Keywords: oil embargo, stagflation, petrodollars, Volcker Shock, Jamaica, debt crisis

Opening thought experiment (slide 6): imagine you lead a newly independent Caribbean country — low-income, heavily reliant on agriculture and raw material exports, welfare systems and infrastructure underdeveloped, national reserves limited — and richer countries suddenly offer a large loan at almost zero interest. **Would you accept the loan?**

- The scenario is a trap, not a gift: the 1970s loan bonanza becomes the 1980s debt trap.

4.1 The Oil Crisis of the 1970s (slide 7)

Keywords: embargo, quadrupling of prices, inflation, recession, stagflation

- Skyrocketing oil prices: as a result of the embargo, oil prices **quadrupled within a short period**.
- Inflation and economic recession: the sharp rise contributed to high inflation rates in many countries; coupled with energy shortages, this produced recessions in several Western economies.

- The US experienced **stagflation** — a combination of stagnant economic growth and high inflation (slide 7).

→ Stagflation discredited the post-war Keynesian consensus and opened the political space for Neoliberalism.

4.2 Impacts on Developing Countries (slide 8)

Keywords: cheap loans, petrodollars, negative real interest rates, dual dependency, Volcker Shock

- Framing question (slide 8): if cheap loans let developing countries "buy time" in the 1970s, why did that short-term relief turn into a **long-term debt trap**?
- Availability of "petrodollars" and **negative real interest rates** made borrowing attractive — the real interest rate chart (1961–1999) is negative or near zero through most of the 1970s.
- A new "dual dependency" emerged: many developing countries entered an extremely high level of indebtedness.
- Then came the Volcker Shock — US interest-rate tightening that turned real rates sharply positive in the early 1980s, devastating the economies of many developing countries.

→ Negative real rates made borrowing rational; positive real rates made repayment impossible. The trap was sprung by the lenders' own policy shift, not by borrowers' recklessness alone.

4.3 The Jamaica Case: Where Structural Adjustment Begins (slides 9–10)

Keywords: Manley, modernisation borrowing, IMF, conditionality, Global South

- 1970s: developing countries were **encouraged** to borrow for modernisation.
- Jamaica built a diverse industry, but the 1973 oil crisis and global recession forced heavy borrowing.
- By 1977, PM Michael Manley — leader of the People's National Party, Prime Minister of Jamaica 1972–1980 and 1989–1992 — turned to the IMF, marking the start of Structural Adjustment in the Global South (slide 9).
- Video task (slide 10): why did Jamaica approach the IMF for a loan, and what conditions were attached to the IMF loan?

→ Jamaica is the template case, repeated across the Global South: external shock → heavy borrowing → conditional rescue → structural adjustment.

4.4 The 2026 Echo: The Strait of Hormuz (slide 11)

Keywords: chokepoint, 20% of global shipments, fuel prices, buffers, vulnerability

- Disruptions in the Strait of Hormuz since February 2026 have pushed up oil and refined-fuel prices.

- The Strait normally handles roughly **20% of global oil shipments**.
- Reading task: UN Trade and Development article on why developing countries are vulnerable; plus "The Oil Market Absorbed the War Shock, but Buffers Are Running Low" (15 Jul 2026).

→ Same structural vulnerability as 1973: commodity shocks bite hardest where reserves are thinnest and debt is highest.

5. Markets Do Not Run Themselves

Keywords: self-regulating market myth, Great Depression, institutional preconditions

- "Neoliberalism does not mean the market can automatically fix everything" (slide 12).
- Neoliberals believed markets **don't just run themselves** — left alone, markets may collapse (like in the Great Depression).
- The real question (slide 12): **what political, legal, and social frameworks are needed for markets to function properly?**

→ Exam nuance: neoliberalism is not anarchism. It requires a strong state to **make** markets, and a restrained state **inside** them.

6. Structural Adjustment and the Washington Consensus

Keywords: loan conditionality, Williamson, ten points, austerity, bureaucratic capacity, Sri Lanka

6.1 What Structural Adjustment Is (slide 13)

Keywords: conditions attached to loans, financial stability, debt-repayment machine

- Structural adjustment = conditions attached to loans, intended to restore financial stability and make markets "function properly" (slide 13).
- The slide's own critical frame: making economies more stable and viable... **or turning them into debt-repayment machines?**

6.2 The Washington Consensus: Ten Points (slide 14)

Keywords: Williamson, fiscal discipline, liberalisation, privatisation, property rights

- The Washington Consensus represents, in John Williamson's words, the common core of wisdom embraced by all serious economists (slide 14).
- The ten points (memorise the list):

1. Fiscal discipline
2. Public expenditure priorities re-ordered
3. Tax reform
4. Maintenance of positive real interest rates
5. Maintenance of competitive exchange rates
6. Trade liberalisation

7. Elimination of barriers to Foreign Direct Investment
8. Privatisation of state-owned enterprises
9. Deregulation of the economy
10. Enforcement of property rights

→ Note the move from ends to means: growth is the stated goal, but all ten items are about **how** — prices, markets, and private ownership.

6.3 The Downside of Structural Adjustment (slide 15)

Keywords: austerity, debt dependence, social harm, hollowing out, unequal ecological exchange

- Verdict on the slide: SAPs were justified in the name of growth, but often delivered **austerity, debt dependence, and social harm** instead.
- Evidence cited (slide 15):
    - Reinsberg, Kentikelenis, Stubbs & King (2019), "The World System and the Hollowing Out of State Capacity" (*American Journal of Sociology* 124:4): structural conditions — especially **privatisation, price deregulation, and public-sector employment cuts** — exert deleterious effects on bureaucratic quality, raising the risk that bureaucrats fall prey to special interests and narrowing the policy instruments available. New data set on IMF conditionality, 1985–2014.
    - "Plundering Africa — Income deflation and unequal ecological exchange under structural adjustment programmes": in the 1980s–90s, IMF/World Bank-imposed SAPs devastated Africa by forcing **austerity, privatisation, and export-oriented policies**.

→ Irony (memorise): reforms preached in the name of "good governance" hollowed out the very state capacity that development requires.

6.4 Sri Lanka: A Modern Echo, 2019–2024 (slide 17)

Keywords: tourism collapse, debt default 2022, US$3bn bailout, conditions recycled

- Tourism collapse (COVID-19) and poor fiscal management drained reserves.
- **Debt default (2022):** Sri Lanka unable to repay foreign creditors.
- Turned to the IMF for a bailout (US$3bn) with conditions:
    - Tax hikes and subsidy cuts (e.g. fuel).
    - Restructuring of state-owned enterprises.
    - Softer tone on poverty reduction.
- Discussion question (slide 17): what does Sri Lanka's crisis tell us about neoliberalism as a development doctrine — is it still dominant, has it changed, or is it being contested?

→ Nearly half a century after Jamaica, the same sequence runs: shock → default → conditional rescue → austerity. What has changed is rhetorical (softer poverty language), not structural.

7. Paradigms of Development: Where Each Sits

Keywords: modernisation, dependency, neoliberalism, developmental state, patients and cures

Slide 18 (revisited with more rows on slide 31) compares paradigms on three questions — who needs development, how should it happen, and what is the importance.

- **Modernisation** (slide 18): who — traditional, unindustrialised societies, i.e. non-Western countries (the "Third World"); how — modernise across mutually supportive arenas, with foreign assistance; why — the route to civilisation, higher living standards and improved material conditions, free from dictatorship.
- **Dependency** (slide 18): who — peripheral countries; how — transform the relationship with the capitalist core through changes in the terms of trade, import-substitution industrialisation, and delinking, as well as reshaping national class relations; why — reduce surplus extraction and structural inequality.
- **Neoliberalism** (slide 18): who — indebted and post-socialist states/countries reeling from structural adjustment; how — privatisation, free markets, deregulation, marketisation, good governance, social capital; why — spur growth and promote individualism / make globalisation work for the poor.
- **Developmental State** (filled in on slide 31): who — East Asian countries (and poor developing countries); how — corporatism, entrepreneurial bureaucracy, export promotion, state coordination; why — expand into the global economy and preserve national pride.
- Still blank on both slides — human development, sustainable development, post-development (Week 4 onwards).

→ Same template, different answers: each paradigm names a different patient and a different cure. Use this grid as a scaffold for essay questions.

8. Transition: What Replaced the Consensus?

Keywords: promise vs delivery, alternative models, East Asia

- Pivot question (slide 20): if neoliberal reforms and the Washington Consensus promised growth and stability but often delivered crisis, what alternative models of development did scholars and policymakers turn to, and with what success?
- The lecture's answer: the Developmental State, read off the East Asian experience.

→ Note the symmetry: neoliberalism was theorised in the West and imposed on the South; developmental state theory was theorised **from** the South's own success stories and then generalised.

9. Developmental States: Definition and Neostatism

Keywords: professionalised bureaucracy, autonomy, Asian tigers, neostatism, nature of involvement

9.1 Defining the Developmental State (slide 21)

Keywords: pushed development forward, autonomous bureaucracy, Singapore, Hong Kong, Taiwan, South Korea

- A developmental state is a type of economy that was successfully able to push development forward, characterized by professionalized bureaucracies that were autonomous from social and political pressures (slide 21).
- Usually associated with the **'Asian tiger' economies**: Singapore, Hong Kong, Taiwan, South Korea.
- A subtype of Neostatism — a renewed emphasis on the role of the state in economic development, particularly in the context of developing countries (slide 21).

→ Definitional hinge: **autonomy**, not size. A large state captured by elites is not a developmental state.

9.2 What Developmental State Theory Challenges (slide 22)

Keywords: dominant view, one size fits all, coordinating and disciplining, industrial upgrading

- Challenged the globally dominant view — i.e. the Washington Consensus and its 'one size fits all' ideologies.
- The question of state involvement is not about the extent but rather the nature of that involvement (slide 22).
- Not just **picking winners**: the state's task is **coordinating and disciplining** firms, banks, and bureaucrats around industrial upgrading.

→ One-liner: neoliberalism asks how *little* the state can do; developmental state theory asks what the state should do and *how*.

10. Japan and the Developmental State

Keywords: Chalmers Johnson, MITI, flying geese, Okita, latecomers

10.1 The Japanese Origin (slide 23)

Keywords: Johnson, MITI and the Japanese Miracle, pilot agency, industrial policy

- Slide 23 pairs Chalmers Johnson with his book *MITI and the Japanese Miracle: The Growth of Industrial Policy, 1925–1975* — the founding study of the Developmental State.
- The MITI (Ministry of International Trade and Industry) is the archetypal **pilot agency**: the bureaucratic body that plans and guides industrial upgrading.

- Japan is the model case from which the East Asian tigers' experience is then generalised.

10.2 The Flying Geese Model (slide 24)

Keywords: Okita, regional division of labour, NIEs, ASEAN4, structural transformation

- Saburo Okita (1914–1993), Japanese economist and Minister of Foreign Affairs.
- Flying Geese Model: industrial upgrading spreads across the region in sequence, each country taking advantage of its distinctiveness to develop within a supportive division of labour (slide 24 chart: garments → steel → popular TV → video → HDTV over time, Japan leading).
- Key categories (slide 24): **NIEs** = Newly Industrialising Economies (Hong Kong, Singapore, South Korea, Taiwan); **ASEAN4** = Indonesia, Malaysia, Philippines, Thailand.
- Okita's own argument (slide 24): because there is such great variety between the Asian nations, economic integration on the European Union model is "clearly out of the question" — yet precisely this diversity facilitates the flying-geese pattern of shared development.

→ Upgrading is *relational*: one country's climb up the value chain opens the rung below for the next latecomer.

11. The Developmental State: Five Defining Features (slide 25)

Keywords: Haggard, priority, elite bureaucracy, pilot agency, space to rule, market conforming

- Stephan Haggard (slide 25): Growth is hampered by a range of market failures and coordination problems that are only overcome through state action.
- The five features (memorise):

11. The state **prioritises economic development**.
12. An **elite bureaucracy** coordinates strategy.
13. This elite is led by a **pilot agency**.
14. Bureaucrats are given **space to rule** (insulation from social and political pressure).
15. State intervention is **market conforming** — it works with, not against, market signals.

→ Features 2 and 4 are the causal core: **capacity plus insulation**. Without both, state intervention becomes patronage rather than planning.

12. The Politics of the East Asian 'Miracle' (slide 26)

Keywords: power centralisation, authoritarianism, labour suppression, discipline vs patronage, Wade

- The miracle's political ingredients (slide 26): power centralisation; cooperation from local elites; **politically authoritarian** rule; **suppression of labour**.
- Leaders shown: Park Chung Hee, President of South Korea 1967–1979; Lee Kuan Yew, Prime Minister of Singapore 1959–1990.

- Robert Wade's central question (slide 26): how was **discipline** maintained over the interventions, in line with a **national development project**, as distinct from feeding the support mechanisms (such as patronage networks) to keep a particular group in power regardless of cost to the national development project?

→ The same insulation that enabled long-term planning also removed the checks that would have prevented abuse. Authoritarianism is not incidental to the East Asian model — it is part of its mechanism.

13. Is the Developmental State Still Relevant Today? (slide 27)

Keywords: Wade, Mkandawire, policy space, global economic governance, WTO

- Reading questions posed by the lecture (slide 27): what is Wade saying? What is Mkandawire saying?
- Further question (slide 27): how does global economic governance (e.g. WTO rules, IMF/World Bank conditionalities, trade agreements) **limit the policy space** for developmental strategies?
- Quiz 1 framing (slide 34): Wade (2018) argues the developmental state is **not dead, but has adapted to globalisation**. What distinguishes a developmental state from a neoliberal state, and how convincing is Wade's argument that governments can still actively steer economic development?

→ The institutions that once imposed neoliberalism on the South now constrain its alternatives — the developmental state must now be built inside WTO/IMF rules.

14. The State vs Market Framing is Misleading (slide 28)

Keywords: neutral coordinators, class power, global value chains, social struggles, repression

- States are not simply "neutral coordinators" of development; they are also **instruments through which powerful classes** — domestic elites, business groups, foreign capital — advance their interests.
- Likewise, markets do not operate in isolation: they are **structured** by private property rights, competition, and global value chains, all of which reflect power and class relations.
- Treating the developmental state as simply "state vs market" risks ignoring how **social struggles, class alliances, and repression** made suppressive policies possible.

→ The lecture's most theoretical point: the state/market dichotomy is itself ideological — both sides of it are constituted by class power.

15. Discussion: Growth vs Human Rights (slides 29–30)

Keywords: normative question, justification, trade-off, whose cost

- Guiding question 3 returns: can economic growth ever justify the suppression of human rights and freedoms? (slides 3, 29)
- Poll question (slide 30): do you think economic success justifies restrictions on human rights and freedom?
- Take a position and defend it — the strongest answers do not assert a blunt trade-off, but ask **for whom, for how long, and at whose expense** it is being made.

→ Ties the week together: neoliberalism subordinates rights to the market; the developmental state subordinated rights to growth. Neither paradigm escapes the question.

16. Conclusion (slide 33)

Keywords: state–market relationship, institutions, long-term growth, two paradigms

- In an abstract and general sense, the core debate of both neoliberalism and developmental state theory revolves around the **relationship between the state and the market**, and how we think about the role of institutions in long-term growth.
- But the two represent **fundamentally different paradigms** of economic and political thought:
    - Neoliberalism — market forces, minimal state intervention, individualism.
    - Developmental State theory — state-led development, strategic interventions, collective interests.

→ Exam-ready contrast: same question (what should the state do?), opposite answers (restrain it / direct it).

17. One-Page Revision Spine

Keywords: last-minute recap, neoliberalism, debt crisis, SAPs, East Asia, developmental state

16. **Guiding questions (slide 3):** step in or step back; what makes markets work; can growth justify repression.
17. **Neoliberalism (Harvey 2007):** competition, low taxes, little regulation, citizen-as-consumer, wealth-as-merit, market as society's most important thing; institutional framework of private property, individual liberty, unencumbered markets, free trade (slide 4).
18. **Political turn (slide 5):** Reagan and Thatcher; loan eligibility through the World Bank/IMF adjusted to privatisation, deregulation, financial liberalisation.
19. **1970s oil crisis (slide 7):** embargo, prices quadruple, stagflation = stagnant growth + high inflation.
20. **Debt trap (slide 8):** petrodollars + negative real interest rates → borrowing; "dual dependency"; Volcker Shock turns real rates positive → crisis.
21. **Jamaica (slide 9):** Manley turns to the IMF in 1977 — the start of structural adjustment in the Global South.

22. **Markets do not run themselves (slide 12):** what political, legal, and social frameworks do markets need?
23. **Structural Adjustment (slide 13) + Washington Consensus (slide 14, Williamson):** the ten points — fiscal discipline, expenditure priorities, tax reform, positive real rates, competitive exchange rates, trade liberalisation, FDI barriers removed, privatisation, deregulation, property rights.
24. **Downside of SAPs (slide 15):** austerity, debt dependence, social harm; Reinsberg et al. 2019 — conditionality hollows out bureaucratic quality; "Plundering Africa".
25. **Sri Lanka 2019–2024 (slide 17):** default 2022 → US$3bn IMF bailout with tax hikes, subsidy cuts, SOE restructuring — the same package, softer tone.
26. **Paradigm grid (slides 18, 31):** modernisation, dependency, neoliberalism, developmental state — who needs development, how, and why.
27. **Developmental State (slide 21):** professionalised, autonomous bureaucracy driving development; Asian tigers; subtype of Neostatism; involvement is about **nature, not extent** (slide 22).
28. **Five features (slide 25, Haggard):** development prioritised; elite bureaucracy; pilot agency; space to rule; market conforming.
29. **Politics of the miracle (slide 26):** centralisation, authoritarianism, labour suppression; Wade's discipline-vs-patronage question.
30. **Still relevant? (slides 27, 34):** Wade 2018 — not dead, adapted; WTO/IMF conditionalities limit policy space.
31. **Framing critique (slide 28):** states and markets are both structured by class power — "state vs market" is misleading.
32. **Conclusion (slide 33):** same debate — state vs market, institutions and long-term growth — but opposite paradigms: market forces and individualism vs state-led development and collective interests.